

REACHING NEW HEIGHTS

Trimester Meeting
Oct 28, 2011



- **Status of Our Business**
- **Status of Operations**
- **View From the Group**
- **Engineering Projects**
- **Recent Significant Wins**
- **Forecast**
- **Summary**



Agenda

- **Financial Performance (EOM SEP)**

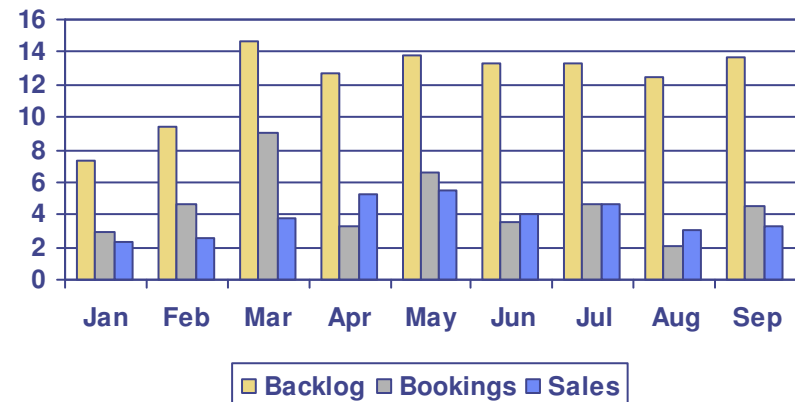
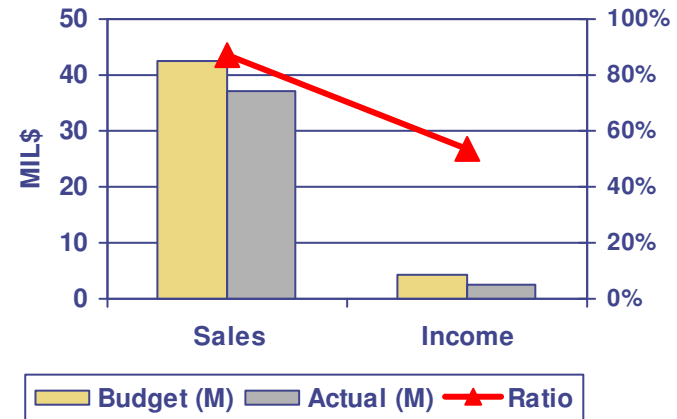
- Sales (Volume) - 37M vs. 42.6M
- Income (Profit) - 2.425M vs. 4.442M
- Sales are behind budget, AND Income (Profit) is **far** behind Budget

- **EOY December Forecast**

- Sales 86% Budget
- Income 72.3% Budget

- **Backlog**

- 15.78M EOM SEP
- Special Jobs drive our backlog up!



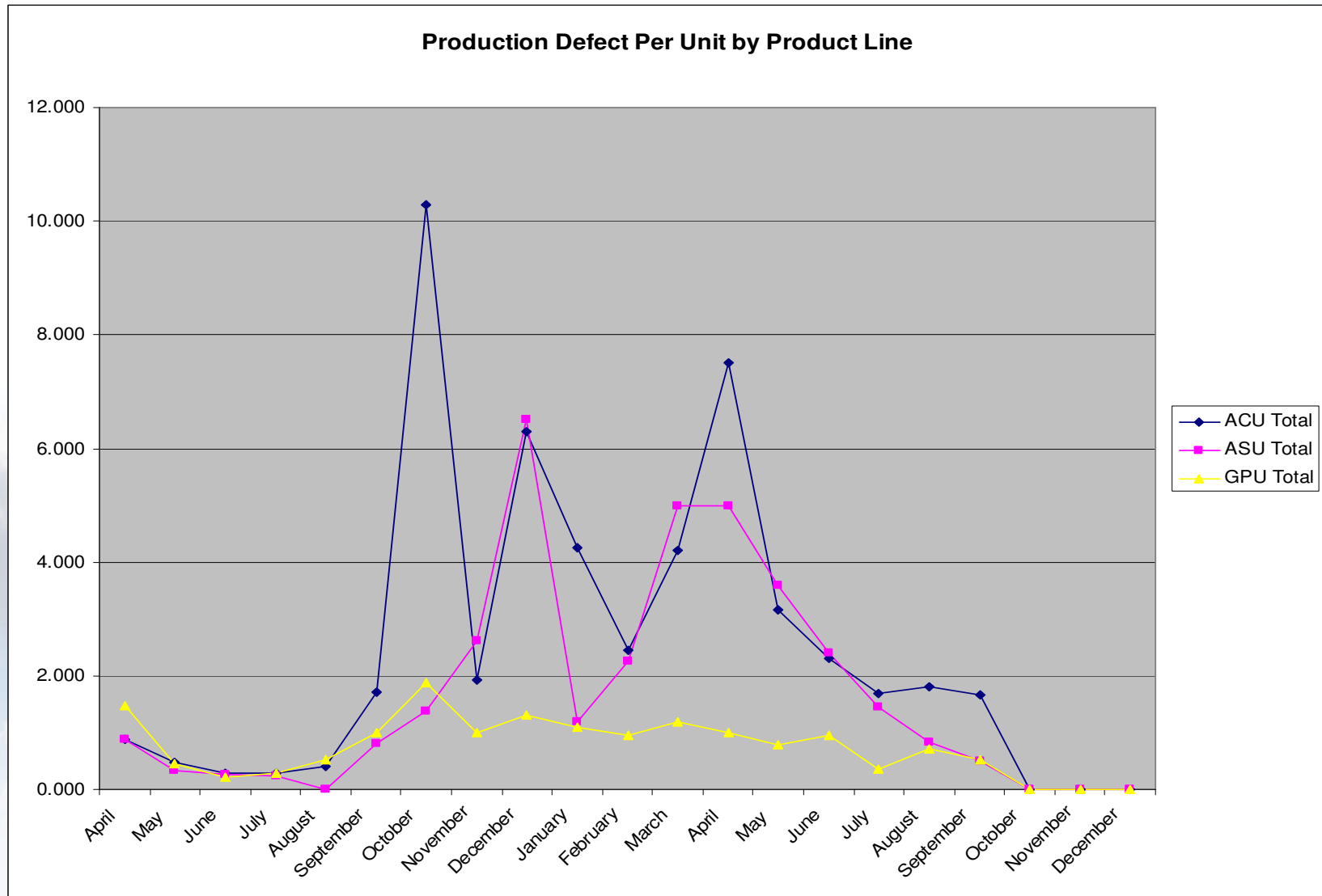
Status of Our Business

- **Two Major Projects underway at TLD WIN**
- **F-22 Combination Cart**
 - 2.5M USD development program
 - 60 carts over 4 years
- **LCU Production Cart**
 - 3.7M USD Development program for Diesel Electric and electric shipboard configurations
 - 1 cart for every 6 JSF over the next 20 years – potential for 500+ carts!

**LCU Production Represents 15MUSD in SALES
PER YEAR starting in 2013**



Engineering Projects



Quality

- **Quality is important in all positions – not just manufacturing**
 - Production Quality – Direct Impact on Unit Quality by work standards
 - Engineering Quality Contributions – High Quality Designs are easier to manufacture
 - Materials Quality Contributions – High vendor quality makes our jobs easier
 - Management Quality Contributions – ensure the right tools are available.
- **Each of us has deliverables, some to external customers, some to internal customers**
 - We each need to review the quality of our work to make sure we're delivering the highest quality product we can.

- Remember -

**Our competitors are getting better every day –
we must continue to improve to keep up**



Quality

- **Safety**

- Ten injuries so far this year

- Incident rate of 12.03, Industry standard = 5.0, our goal is ZERO
 - For current work force @ TLD-ACE, 1 injury = Industry Standard

- **Ways to Improve your Safe Work Habits**

- Seek Cleanliness – Avoid Clutter

- Eliminate trips and falls
 - Improves efficiency

- Fall Protection System for Work on top of Units

- Eliminate risk of falling

- Don't Take Risks

- Don't lean from ladders, don't take shortcuts



Safety

- **2011 has been VERY challenging**
 - Strange product mix – heavy ACU demand, light ASU demand
 - Customer demand for fast lead times
 - Many customers requiring special options
- **2011 is marked by HIGH LABOR HOURS – 18% Higher than standard!**
 - Low Management staffing – (Stanly & Dean)
 - High Temp Utilization
 - Strained Parts supply Stream
 - Parts Quality Impact
- **Need to continue to drive reduced cycle times to remain competitive**
- **Need to drive labor cost from our units**
- **We must continuously improve our productivity (our competition is....)**
 - Essential to reach 2011 profitability goals
 - Essential to minimize cost growth and stay competitive
 - Essential to help us reach our RONCE objective



Efficiency & Productivity

- **Productivity and Efficiency are easy to measure in manufacturing**
- **Improvements in administrative and engineering activities are also important**
- **Each of us must spend time every week reviewing our tasks, trying to find ways to improve our productivity**
 - IT Systems can be created to ease some administrative tasks
 - These systems benefit everyone in the group, not just TLD WIN
- **Potential areas for improvement**
 - Automatic integration from BAAN to reduce data reduction efforts
 - Improved reporting from BAAN, to make reports easier to use and more useful
 - Repetitive tasks that only take a few minutes can add up to a lot of minutes when all locations are considered
- **IT is positioned to implement process improvements we suggest – so think hard and talk with your manager**



Productivity & Efficiency

- **2011 Is a Challenging Year for TLD**
 - The market is rebounding, but competition is growing fast
 - Our group volumes are up, but our profitability is not growing as fast
- **2012 Is showing strong growth across the group**
 - Challenges in the supply stream will be felt
 - Impact of Engine Emissions Changes continues
 - Commodity Price Increases
- **Important Group Projects (Outside of TLD WIN)**
 - Navy LLTT – production orders starting
 - Taxibot – Narrow body proto complete
- **New TLD Logo**



View from the Group



TLD STRATEGIC GOALS 2011-2013

1. To install durably the TLD Brand as a synonym of quality and superior service to our customers worldwide.
2. To bring value to our customers through innovation as well as product quality and reliability
3. To improve operating conditions in order to reach our quality and support goals while delivering an excellent financial performance



2011-2013 Goals

- **RONCE**

- YTD Performance > 25%

- We are on track for a full payout, but we must continue to work to meet our budget

- Our Contributions

- Maximize Income by minimizing costs

- Don't waste anything
 - Work efficiently
 - Improve quality to reduce cost of rework and warranty

- Minimize Capital

- Move units through production and test quicker
 - Ensure inventory quantities are correct – only buy what we need
 - Maintain our equipment so we don't have to spend money on repairs or replacement

Your Daily Choices Impact this Bonus!



RONCE Bonus



- **2011 has been a challenging year for TLD WIN**
 - Material Cost Growth reducing profit
 - High Direct Labor Hours reducing profit
- **Quality must continue to get better**
 - Customers remember poor quality – it will influence their next purchasing decision
 - YOUR ACTIONS ARE IMPORTANT – MAKE THEM COUNT!
- **COST is our enemy**
 - When our costs increase, our profit decreases, and our RONCE decreases
 - Fight vendor cost increases
 - Improve efficiency in production and engineering
- **Engineering projects pave the way for future growth – they must be supported well!**

**Every action we take impacts the company and ourselves
– Make your impact Positive –**

Summary